Ch. 15 CW #1

Principles of Microeconomics

December 4, 2025

Instructions

Please answer these questions on another sheet of paper and turn them in on Gradescope by next class.

Warm Up

1. Throwback to Ch. 4: What two characteristics make a market competitive?
2. Throwback to Ch. 14: What was our core assumption about firms? What do we assume they're trying to accomplish?

15.1. What Is a Competitive Market?

1. A perfectly competitive firm
   (a) chooses its price to maximize profits.
   (b) sets its price to undercut other firms selling similar products.
   (c) takes its price as given by market conditions.
   (d) picks the price that yields the largest market share.
2. Minnesota Milk is a thriving dairy company. It sells milk by the gallon, and the market price of a gallon is $6.
   (a) Why is it reasonable to assume that the milk market is competitive?
   (b) Please fill in the following table:

Quantity	Price	Total Revenue	Average Revenue	Marginal Revenue
1 gallon	$6			
2	6			
3	6			
4	6			
5	6			
6	6			
7	6			
8	6			

3. When a perfectly competitive firm increases the quantity it produces and sells by 10 percent, its marginal revenue _____ and its total revenue rises by _____.

   (a) falls; less than 10 percent

   (b) falls; exactly 10 percent

   (c) stays the same; less than 10 percent

   (d) stays the same; exactly 10 percent